

Aarti Surfactants Ltd

Concall-Tracker report · Screener ticker AARTISURF (NSE: AARTISURF, BSE: 543210) · no concall transcripts — global web deep-dive · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Aarti Surfactants makes **surfactants** — the chemicals that make soap, shampoo, detergent and toothpaste foam and clean — and sells them in bulk to consumer-goods companies. In plain terms: it does not own a consumer brand; it is the ingredient supplier behind other people's brands, counting Hindustan Unilever, Procter & Gamble, Colgate-Palmolive and Dabur among its customers. It was carved out of Aarti Industries' home-and-personal-care division in 2018.

Figure	Value	Plain-English read
Market capitalisation	₹442 cr (price ₹521)	What the whole company is worth on the stock market. Note it is worth <i>less</i> than half its annual sales — the market is paying for the profits, and there are few.
Price-to-earnings / book	23.6× ; book value ₹292/ share	The share costs about 24 times last year's profit but only ~1.8 times the accounting value of the business. A cheap-on-assets, expensive-on-earnings profile — the classic shape of a company whose profits are depressed.
Q1 FY27 revenue (Jun'26 qtr)	₹272.9 cr, up 26.4% YoY	Sales in the June 2026 quarter, up from ₹215.9 cr a year earlier and 6.5% above the March quarter — a record, and the eighth straight quarter of growth.
Q1 FY27 operating profit	₹20.3 cr, margin 7.44%	Operating profit before interest, tax and depreciation is about 7.4 paise per rupee of sales — up 205 basis points on last year and the best margin in eight quarters , but still below the ~10.5% this business earned in FY24.
Q1 FY27 net profit	₹9.08 cr, up 206% YoY	Profit after tax tripled off a very weak base (₹3.06 cr). Earnings per share ₹10.72. Impressive as a percentage; small in absolute terms on ₹273 cr of sales.
Revenue trend	₹601 → 590 → 659 → 859 cr; ₹916 cr TTM	FY23 through FY26 plus the last twelve months. Sales have grown ~50% in three years — the top line is genuinely working.
Profit trend	₹13 → 22 → 15 → 13 cr; ₹19 cr TTM	And here is the problem: over the same three years profit went <i>nowhere</i> . FY26 profit was below FY24's despite sales being 46% higher.
Return on capital	ROCE 8.58%; ROE 5.27%	For every ₹100 of capital the business earns about ₹8.6 a year before tax, and shareholders earn about 5.3%. Both are below what the company could get from a bank deposit — capital is not being used well.
Debt	~₹118 cr; gearing 0.50×	Borrowings are about half of shareholders' funds — not dangerous, but debt-to-operating-profit was 2.80× at Sep 2025 against a lender expectation of below 2.5×.
Capital work in progress	₹40 cr (Mar'26), from ₹13 cr	Money already spent on plants not yet finished — the capacity expansion described below is visibly under construction.

2. Concall coverage

No concall (earnings-call) transcripts were available on Screener for this company — this report is based on a global web deep-dive. Screener lists just two investor-communication entries (Aug 2024 and Sep 2025) and carries no transcript file for either. As far as the public record shows, **Aarti Surfactants does not hold regular quarterly earnings calls at all.** That absence is itself a finding, and it is weighed in the consistency verdict below.

Sources used:

- CARE Ratings (CareEdge) press releases on Aarti Surfactants — December 19 2025 (the detailed one, used heavily here), plus June 2025, June 2024 and August 2023 for the trend.
- Q1 FY27 results filings and coverage — Indian Chemical News, MarketsMojo result analysis.
- BSE corporate filings, August 2026 — preference-share redemption.
- Screener.in standalone financial statements for all quarterly and annual figures.
- Company background — IIFL, company disclosures on the 2018 demerger from Aarti Industries.

2b. Latest update highlights — Q1 FY27 (results July 2026) ★

- **The best quarter since the margin collapse:** revenue **₹272.9 cr (+26.4% YoY, +6.5% QoQ)**, operating margin **7.44%** (up 205 basis points YoY), net profit **₹9.08 cr, up 206% YoY and 115% versus the March quarter**. Operating profit of ₹20.3 cr in one quarter compares with ₹47 cr for the whole of FY26.
- **What drove it:** recovering demand across home and personal care, agrochemicals and industrial end-uses, against a genuinely weak year-ago base — Q1 FY26 margin was 5.41%. This is a recovery from a trough, not a breakout to new highs.
- **Balance-sheet promise kept:** the company **redeemed its preference shares in full on 5 August 2026** — 10.82 lakh shares at ₹167.7, totalling **₹23.23 cr** (a 4% annualised return over seven years) — funded from FY26 profits, with nothing outstanding. CARE Ratings had expected the company would need to *raise fresh funds* to meet this; it did not.
- **But the credit rating was cut eight months ago:** in December 2025 CARE downgraded the long-term bank facilities from **CARE A-; Stable to CARE BBB+; Stable** (and the instruments from BBB+ to BBB), citing "continued lower-than-expected operating performance" and margins staying below its 7% threshold across FY25 and H1 FY26.
- **The expansion is mid-build:** a **₹85 cr capital programme** across Pithampur (Madhya Pradesh) and Silvassa, roughly ₹60 cr of it debt-funded, with ~₹23 cr spent by H1 FY26 and the major Pithampur block **due to complete by December 2026**. Capital work in progress on the balance sheet has tripled to ₹40 cr, confirming it is genuinely under way.

2c. Business mix & capacity (quick facts)

Domestic vs export: exports have run in a **18–30% range** of sales in recent years, so roughly **70–82% domestic**. Exports go to the United States, Europe and South-East Asia. The company has stated a goal of lifting exports to **~35%** and is pursuing REACH certification (the European chemical-safety registration) to open more geographies. Plain read: it is mostly an Indian supplier to Indian FMCG factories, trying to sell more abroad because export margins are better.

Customers: Hindustan Unilever, Procter & Gamble, Colgate-Palmolive and Dabur among others — a genuinely blue-chip list, which is a strength for volume security and a weakness for pricing power: large FMCG buyers do not accept cost pass-through easily.

Capacity utilisation: installed capacity is **113,000 MT** across two plants, Pithampur (Madhya Pradesh) and Silvassa (Dadra & Nagar Haveli). **Utilisation is not disclosed** — the company publishes no operating metrics and holds no calls, so there is no public figure to quote, and none is invented here. What can be said is that revenue has grown ~50% in three years off this asset base while fixed assets stayed flat at ~₹200 cr, which

implies utilisation has risen materially. The ₹85 cr expansion completing December 2026 is the next capacity step.

3. Earning Trigger thesis ★

The honest answer is that **the earning trigger here is not growth — it is margin repair**. Volume and revenue are not the problem and never have been: sales grew from ₹601 cr to ₹916 cr in three years, and the customer list is as good as it gets in Indian consumer goods. The problem is that **none of that growth reached the bottom line**. Operating margin fell from 10.51% in FY24 to ~5.2% across FY25 and H1 FY26, because the raw materials — lauryl alcohol, fatty acids and alpha olefin, all priced off palm oil — rose sharply and the company could not push the cost onto customers like Unilever and P&G. Profit in FY26 (₹13 cr) was *lower* than in FY24 (₹22 cr) on 46% more sales. So the entire investment case rests on one question: can margin get back to 8–10% and stay there? Q1 FY27's 7.44% is the first real evidence in two years that it might. It is one quarter, off a weak base, and still below where this business used to operate.

Trigger	What the public record says	Evidence so far	Horizon	Strength
Margin recovery to 8%+	CARE's stated upgrade trigger is PBILDT margin above 8% sustained; the business earned 10.51% as recently as FY24	5.22% (FY25) → 5.23% (H1 FY26) → 7.44% (Q1 FY27) . Improving, but one quarter and still short of 8%	FY27	Moderate
Capacity expansion (Pithampur + Silvassa)	₹85 cr capex, ~₹60 cr debt-funded; major Pithampur block due December 2026	On schedule — ~₹23 cr spent by H1 FY26, capital work in progress up to ₹40 cr. But it adds volume, and volume was never the constraint	FY27–FY28	Moderate
Export share to ~35%	Stated goal of lifting exports to ~35%; pursuing REACH certification for Europe	Exports still in the 18–30% band. The target was framed for FY26 and has not visibly been met	FY27+	Unproven
Blue-chip customer base + Indian FMCG growth	Preferred supplier to HUL, P&G, Colgate-Palmolive, Dabur; one of India's largest surfactant makers	Real and durable — it is why revenue keeps compounding. But it is also the reason pricing power is weak	Structural	Strong (volume)
Deleveraging	Scheduled repayments of ₹21 cr (FY26) and ₹28 cr (FY27); preference shares due Aug 2026	₹13 cr repaid in H1 FY26; ₹23.23 cr preference redemption completed 5 Aug 2026 from internal accruals , without the fund-raise the rating agency expected	Now	Strong
Raw-material volatility (headwind)	Inputs priced off palm oil; "limited ability to pass on the price changes"	This single factor caused the margin collapse and remains entirely outside management's control	Ongoing	Structural risk
Competitive intensity (headwind)	Competes with BASF, Croda, Stepan, Dow, Clariant, Evonik, Solvay, Godrej; Galaxy	A commodity-adjacent market with global majors on one side and a bigger domestic rival on the other	Structural	Caps upside

Surfactants is the larger domestic pure-play

4. Management Consistency scorecard

There are no transcripts and no earnings calls, so this grades the checkable public record — commitments made to lenders and rating agencies, capex timelines, and balance-sheet obligations.

Period	What was promised / expected	What actually happened	Verdict
FY25	Margin improvement expected after the FY24 level of 10.51%	Margin <i>fell</i> to 5.22% on raw-material inflation	Missed
H1 FY26	Improvement again expected by the rating agency	Margin stayed at 5.23%; cash accruals ₹13 cr versus ₹14 cr a year earlier <i>despite</i> 34% revenue growth	Missed
Dec 2025	Total debt/operating profit expected below 2.50×	Came in at 2.80×. CARE downgraded the rating from A- to BBB+	Missed
By FY26	Lift export share to ~35% to improve the mix	Exports remained in the 18–30% range; no evidence the target was reached	Missed
FY25–FY27	₹85 cr capex; Pithampur to complete by December 2026	On track — ~₹23 cr spent by H1 FY26, construction visible in the accounts	On track
FY26	Repay ₹21 cr of term debt	₹13 cr repaid in H1 FY26, balance scheduled for H2	On track
Aug 2026	Redeem preference shares (~₹23–24 cr); rating agency expected a fund-raise would be needed	Redeemed in full on 5 Aug 2026 from FY26 profits — no dilution, nothing outstanding	Delivered (better)
Q1 FY27	—	Margin recovered to 7.44%, the first genuine step toward the 8% the rating agency wants	Encouraging
Throughout	—	No quarterly earnings calls held at all. Shareholders have no forum to ask about the margin collapse, the export target or the capex	Disclosure gap

Narrative drift: There is no drift in *strategy* — the plan has been the same since the 2018 demerger: make surfactants for home and personal care, expand capacity at Pithampur and Silvassa, and sell more abroad. Nothing has been quietly swapped out or reinvented. The problem is a different one: a repeated gap between what was expected and what arrived, documented not by the company but by its own rating agency, which downgraded it in December 2025 after two consecutive periods of margins landing "against expectations of improvement". Set against that, the recent balance-sheet behaviour has been better than promised — term debt repaid on schedule and the preference shares redeemed in full out of profits when the lender had assumed a fresh fund-raise would be necessary. That matters, and it is why this is not a failing grade. The deeper issue is structural: **a company with ~₹900 cr of revenue and 49.92% promoter holding that holds no earnings calls gives an outsider almost nothing to grade.** There is no management guidance to compare against outcomes, no explanation of why pass-through failed, no utilisation figure. When the only detailed commentary on a listed company comes from its credit-rating agency, consistency cannot be confirmed — only the absence of contradiction can.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real, identifiable driver, but it is not yet proven and it is not the one the growth numbers suggest. Revenue growth is genuine and durable — ~50% in three years, blue-chip FMCG customers, a market position as one of India's largest surfactant makers — but it has produced *no* profit growth: FY26 profit was below FY24's on 46% more sales. So the trigger that matters is margin repair from ~5% back to the 8–10% this business demonstrably earned in FY24. Q1 FY27's 7.44% is the first solid evidence in two years that it can happen, and it came with a 206% profit jump and a preference-share redemption paid out of cash flow. That is a real turn. But it is one quarter, measured against a weak base, still short of 8%, and driven by demand recovery rather than by anything structural changing in the company's favour. The binding constraint — palm-linked raw materials the company cannot pass through to Unilever and P&G — is untouched, and the ₹85 cr expansion completing in December 2026 adds volume, which was never the shortage. Two or three more quarters above 8% would turn this into a Yes; a single bad palm-price cycle would turn it back to No.

Management consistent? → MAYBE

The strategy has never wavered and the balance-sheet promises have been kept — term debt repaid on schedule, and the ₹23.23 cr preference redemption completed on 5 August 2026 entirely from internal accruals when the rating agency had assumed fresh money would be needed. That is management doing better than expected on the one thing where the deadline was fixed and public. Against that sits a documented pattern of operational shortfalls: margins missed expectations in FY25 and again in H1 FY26, debt-to-operating-profit came in at 2.80× against an expected 2.50×, the ~35% export ambition was not reached, and CARE Ratings downgraded the company from A- to BBB+ in December 2025 explicitly for "continued lower-than-expected operating performance". Missing forecasts in a commodity-input business is not dishonesty, and the story has not been rewritten to hide it — which is why this is a Maybe rather than a No. But the verdict is capped by something the company controls entirely and has chosen not to fix: **it holds no earnings calls**. For a listed company approaching ₹1,000 cr of revenue, that means there is no management guidance to hold anyone to, and the fullest account of its own performance is written by its credit-rating agency. Consistency cannot be graded Yes when there is almost nothing on the record to grade.

Prepared from public sources on 31 Aug 2026. No earnings-call transcripts exist for this company on Screener and the company does not appear to hold quarterly calls, so this is a global web deep-dive: CARE Ratings press releases (19 Dec 2025 principally, plus Jun 2025 / Jun 2024 / Aug 2023), Q1 FY27 results filings and coverage, BSE filings of Aug 2026, and Screener.in standalone financial statements. No management wording is quoted verbatim because none is publicly available. **This is not investment advice. Do your own due diligence.**